Request to refine the project title and scope

International Trade: group report and presentation, Environmental Protection Policy, Germany

To: Assoc. Prof. [lecturer's name] [confirm title, recipient and channel] From: [group number and member names, to be filled in before sending] Date: [date of sending]. Presentation days: 16 and 18 November 2026.

1. What we ask

We ask for your approval to refine the title and scope of the topic you allowed us to start on 7 October 2026. We ask before we build the slides, so that you decide first. The country and the product (iron and steel) stay the same, and the scope widens as set out in section 5. We have one approval to ask and four short questions (section 6). If you would rather keep the original title, please tell us and we will adjust the scope.

2. The topic as submitted (4 October 2026)

- Title: The EU's Carbon Border Adjustment Mechanism (CBAM): Import Costs and Economic Trade-offs in Germany
- Policy area: Environmental Protection Policy. Country: Germany.
- Focus: iron and steel imported from outside the EU.

3. Proposed title

How EU ETS and CBAM Can Strengthen Europe's Long-Term Green Manufacturing Economy: The Case of Germany

On-slide subtitle: Germany, iron and steel; descriptive evidence.

How we read "can strengthen": as a conditional statement. The policies are EU-wide, which is why the title says Europe, but the evidence is German. The conclusion slide says what the record is consistent with and what it does not show (causation, a net German gain, cost parity, delivered tonnes and a fall in CO2 per tonne are not shown).

4. Why we propose the change

1. **One system, not one tool.** CBAM is the import-side complement of the EU Emissions Trading System (ETS). The border charge only makes sense next to the domestic cap-and-trade price, so the report explains both.
2. **Timing of the data.** CBAM reporting began on 1 October 2023 and ran to the end of 2025. The definitive regime began on 1 January 2026, certificate sales start on 1 February 2027 and the first surrender is due on 30 September 2027. No payment has been made yet, so no data point can show the effect of a CBAM import cost on the German economy (2026 data are provisional context only). The ETS has been running since 2005 and gives a longer record.
3. **What the data showed.** After collecting trade, production and company data, we found that the import channel alone is small and sensitive to how imports are counted. Direct imports from outside the EU were 6.1% of German iron-and-steel import tonnes in 2025 (8.1% in 2024). In tonnes (HS Chapter 72, including scrap), imports from outside the EU cleared at German customs fell by 56% between 2019 and 2025, while imports counted by country of origin fell by 22% (in value, by 35% and 9%). A descriptive report that sets out opportunities and adjustment costs, and says clearly what is not shown, is more defensible than a claim about import costs.
4. **Fit with the course.** The report follows the course structure: a negative production externality and an import market with partial pass-through of a carbon cost on the main slides, spare diagrams on offshoring and subsidy in the backup, and the eleven variables you listed (table below).

5. What stays the same, what widens, and the topics

Unchanged: Environmental Protection Policy; Germany; iron and steel feeding manufacturing; a descriptive method based on course theory and published data, with no regression and no causal claim.

Widened: the policy changes from CBAM alone to the ETS–CBAM pair, and the trade focus changes from imports from outside the EU to also cover steel exports, net exports and company cases. The original import-cost question becomes one block inside CH2. The data window is long where the data allow it (manufacturing 1995–2025, ETS since 2005).

Chapter (your structure), planned minutes	Topics covered
CH1 Policy details, 4.0	Why price carbon (negative production externality). How EU ETS and CBAM work and fit together; purpose: prevent carbon leakage. Timeline 2005 to 2034 under current law (2038 in the Commission's proposal of 17 July 2026, not yet law), including the separate EU steel quota measure that is not CBAM. Why Germany and why steel.
CH2 Economic effects, 8.5	Theory: a carbon-related import cost with partial pass-through (short-run, static). Data: German manufacturing 1995–2025; steel imports from outside the EU counted at customs 1999–2025 and by country of origin 2008–2025; steel exports and net exports; company agreements and investment (Thyssenkrupp and Salzgitter in Germany; Stegra in Sweden, selling to Mercedes-Benz and BMW). A one-line checklist for the eleven variables (below). Costs and conditions: energy and hydrogen costs, public aid, jobs.
CH3 Conclusion and suggestion, 2.5	Conclusion: what the record is consistent with and what it does not show. Suggestion: keep the EU ETS and CBAM framework; support, as a proposal that is not yet law, slowing the phase-out of free allocation in CBAM sectors (Commission proposal of 17 July 2026: end in 2038 instead of 2034), with the proposal's 2031 investment-plan condition kept and a review clause; improve emissions data; clean-power, hydrogen and scrap infrastructure; monitor downstream users; named conditions under which to revise the policy.

The eleven variables of CH2 (figures are the vintage of 21 October 2026 and provisional; none is read as a policy effect):

Variable	What we show	Kind of evidence
X	Steel exports, all partners, 27.3 to 22.4 Mt (2017–25)	Steel-specific data
M	Imports from outside the EU by origin, 5,050 to 3,919 kt (2019–25); direct, 3,342 to 1,464 kt	Steel-specific data
NX	Steel trade balance +1.9 Mt (2025), all partners; not total net exports	Steel-specific data
BOP	Current account about EUR 203 bn (2025)	Whole-economy context, not a steel effect
Quantity	Crude steel 43.3 to 34.1 Mt; electric-arc share 28–32%	Steel-specific data
Price	Steel producer prices (2021 = 100): 101.2 (2025), 107.9 (September 2026)	Steel-specific data
GDP	Real GDP +0.2% (2025, provisional)	Whole-economy context
Tax	ETS auction receipts, all sectors, EUR 5.4 bn (2025); CBAM sales only from February 2027	All-sector context
C	Real consumption +1.3% (2025)	Whole-economy context
I	Real fixed investment −0.6% (2025); company investment cases	Context and company announcements
G	Real government consumption +1.7% (2025); subsidies are not all G	Whole-economy context

Services have no usable series and are shown as a data gap. For BOP, GDP, C, I and G we give the theory and one whole-economy indicator, not a causal graph.

6. Questions

1. **Approval.** Do you approve the refined title and scope above?
2. **Method.** Is a descriptive approach without regression acceptable for the CH2 effects, with theory plus a context indicator (or a stated data gap) where no steel-specific series exists? May CH3 recommend "continue with changes", including support for a Commission proposal that is not yet law?

3. **Slot.** The brief gives 20 minutes of presentation plus 10 minutes of Q&A. Our core talk is 15 minutes and we have a ready extension to 20 minutes with the backup material. Which would you like us to deliver?
4. **Language and template.** We plan English slides on a plain 16:9 template. Which spoken language do you prefer, and is there a required template?
5. **Theory diagrams.** Two theory slides use a negative-externality diagram and a short-run import-market diagram (attached as images). Could you check them by message, or may we show them in class?

Structure and arguments are frozen around 1 November; figures and policy status are updated shortly before the presentation days; the group's final check is on 14 November. A reply by [date, before 1 November] would let us adjust in time.

Attachments: this memo as a PDF, and the two diagrams as images. A longer working outline (29 pages) is available on request.